Prysmian S.p.A. (PRY.MI) - relative valuation

Valuation date 2026-10-30 | EUR per share | Status: provisional - limitations disclosed | Human Spot_check PENDING. QA block C executed once; no FAIL items.

1. Valuation summary

Item	Value
Currency / current price	EUR 110.40
Primary multiple (peers)	P/E: median 30.98x (growth/fundamental-scaled); raw median 26.98x; n = 10
Peer value per share: p25 / median / p75	111.52 / 134.61 / 178.60
Peer median vs current price	+21.9%
Published regression (chosen)	PBV (published R2 0.423): EUR 85.78
Regression vs current price	-22.3%
Peer set	10 peers; Tier 1-2: 10; Tier 3: 0

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	VWS	Vestas	Denmark	2	24,772	31.84	6.41	22.28	15.84	0.56
2	ABBN	ABB	Switzerland	1	138,830	32.76	9.64	27.15	24.03	0.83
3	IMI	IMI	United Kingdom	2	8,179	22.01	6.15	16.72	13.77	0.93
4	NEX	Nexans	France	1	5,190	14.74	2.60	11.88	8.41	0.93
5	ALFA	Alfa Laval	Sweden	2	20,542	27.26	5.20	20.32	16.96	1.03
6	NDX1	Nordex	Germany	2	8,920	32.50	6.99	13.58	11.50	1.10
7	HLMA	Halma	United Kingdom	2	15,615	43.93	6.86	31.98	25.55	1.20
8	G1A	GEA Group	Germany	2	11,050	26.69	4.50	18.14	14.04	1.21
9	WRT1V	Wartsila	Finland	2	15,120	24.15	5.26	16.47	14.29	1.23
10	NKT	NKT	Denmark	1	6,000	21.82	2.74	8.71	7.41	1.27

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
P/E *	scaled	10	30.98x	25.66x	41.10x	111.52	134.61	178.60	+21.9%
P/BV	scaled	10	5.86x	4.83x	6.60x	107.05	129.76	146.26	+17.5%
P/S	raw	10	2.10x	1.41x	3.17x	95.10	141.77	213.96	+28.4%
EV/EBIT	raw	10	17.43x	14.30x	21.79x	63.25	79.65	102.50	-27.9%
EV/EBITDA	raw	10	14.17x	12.07x	16.68x	70.06	84.27	101.30	-23.7%
EV/Sales	raw	10	1.95x	1.30x	3.40x	76.19	120.32	217.91	+9.0%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	22.88x	25.41x	0.201	99.43	-9.9%
PBV (chosen)	3.87x	4.98x	0.423	85.78	-22.3%
EV/EBITDA	24.74x	18.03x	0.262	155.87	+41.2%

5. Company-specific notes

- Primary and range:** P/E is primary per sector_adjustments.md (growth-adjusted median 30.98x, EUR 134.61; IQR EUR 111.52-178.60). EV/EBIT (median 17.43x, EUR 79.65; IQR EUR 63.25-102.50) and EV/EBITDA (median 14.17x, EUR 84.27; IQR EUR 70.06-101.30) are the more comparable cross-check for a levered target. Envelope EUR 63.25-178.60, wide by design; no averaging with the regressions.

- P/E vs EV divergence:** the growth-adjusted P/E sits well above the EV-based values, and both differences push that way: Prysmian carries net debt/EBITDA of 1.62x versus a peer median of 0.16x (net-cash peers such as Wartsila, Nordex and Vestas lower equity value relative to EV), and its effective tax rate of 21.6% versus 26.3% (n = 4 peers) lifts net income relative to operating earnings. P/E stays primary per sector_adjustments.md; the EV multiples are the cleaner like-for-like check.

- Chosen regression below peers:** published P/BV (R2 0.423) implies EUR 85.78, P/E regression EUR 99.43, EV/EBITDA regression EUR 155.87 (low R2 0.262). Published equations are market-wide, about ten months older than the valuation date, with no standard error: a gap to price is not proof of mispricing.

- Sensitivities above 15%:** EV/EBITDA regression with the percent-point units reading of DFR and tax gives EUR 128.18 (-17.8%); raw P/E median without growth scaling -12.9%; adjusted P/E p25 -17.2% and p75 +32.7%. Peer leave-one-out moves stay within +/-2.8%. Tier-1 second peer set (ABBN, ENR, SU, LR, NKT, NEX plus the four lowest-distance remaining candidates): adjusted P/E median unchanged at EUR 134.61 (n=10), EV/EBIT EUR 100.50 (n=8, +26.2%), EV/EBITDA EUR 108.13 (n=8, +28.3%) versus the base rules-based set, which stays the base case.

- Inputs not verified against filings:** StockAnalysis figures for FY2025 (accessed 2026-11-01), no annual-report reconciliation of market cap (internal check 0.0%), associates not collected (pre-associate EV bridge: debt + NCI - cash), growth substituted by fundamental ROE x retention (labelled substituted_input).

- Peer data limits:** peer ISINs pass the check digit but are not verified on the exchange register; Vestas has two cached ISINs with issuer pages unreadable (DK0061539921 kept, DK0010268606 unresolved). Ownership and event evidence per peer is in relative/evidence_review.md.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.